

To the north, the haul was similarly huge, but it was in a different form. The English and French discovered no gold or silver to speak of but things that they could use to create real wealth: timber for fuel, rivers that made communication easy, abundant minerals, and vast expanses of virgin farmland. It took time. It took work, saving, and investment, but the treasures of the north were transformed into much greater and much more enduring wealth. This was especially true after oil became widely used as the fuel of choice. America had a lot of it.

Oil-fired machines soon increased output so greatly that the average person in America, Europe, and, later, in Japan became much richer than his contemporaries in the undeveloped world. (If there were a racial, cultural, or geographic hypothesis explaining Europeans' comparative success, Japan disproved it. Even after being defeated in World War II, it grew richer more rapidly than any nation ever had.)

Today, we take “growth” for granted. We think it is normal. And we presume that after a period of recession or stagnation, growth will resume. But what if the entire period from the invention of the steam engine to the invention of the Internet were not the normal thing but the abnormal thing? What if the “Lost Decade” we have just gone through is actually more ordinary? What if very low rates of growth were the “mean” to which we have just now reverted?

The typical person in 1750 lived better than the typical person in, say, 100,000 B.C., but not that much better. The person in 100,000 B.C. lived in a cave or maybe a wigwam. The typical person in 1750 lived in a hovel. There were some great houses, too, of course. By the eighteenth century, humans had been building with arches and columns . . . and domes . . . dressed stone with elaborate decoration for thousands of years. But they were like the palaces of the Orient, not a part of everyday life. Most people had no access to those monuments. Most people lived in houses made of whatever they could put together—usually wood or mud—just as had been done for many thousands of years.

Progress between 200,000 B.C., when mankind is now thought to have emerged, to 1765, when Watt produced his first engine, was extremely slow. In any given year, it was nearly negligible—imperceptible. Over thousands